STUDY

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European Parliament

Transatlantic Fault Lines

Risks and opportunities in EU-US macrofinancial relations



Economic Governance and EMU Scrutiny Unit (EGOV)
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EN

Transatlantic Fault Lines

Risks and opportunities in the EU-US macro-financial relations

Abstract

The global economic paradigm has shifted from globalisation to competition between transformative state projects. This briefing paper examines the risks and opportunities in EU-US relations, across the short-term threat of an AI Minsky moment in the US, the structural challenges of building state capacity for transformative industrial policy, and global Euro ambitions that require the European Central Bank to strengthen its local market maker and global lender of last resort frameworks, and European institutions to tighten the governance of Eurodollar stablecoins while protecting monetary sovereignty through a digital euro.

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AUTHORS
Daniela Gabor, SOAS University of London.

ADMINISTRATOR RESPONSIBLE
Ronny MAZZOCCHI
Harald STIEBER

EDITORIAL ASSISTANT
Ovidiu TURCU

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To contact Economic Governance and EMU Scrutiny Unit or to subscribe to its newsletter please write to:
Economic Governance and EMU Scrutiny Unit
European Parliament
B-1047 Brussels
E-mail: egov@ep.europa.eu

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LIST OF ABBREVIATIONS

AI	Artificial Intelligence
BTFP	Bank Term Funding Program (US Federal Reserve)
ECB	European Central Bank
GDIP	Green Deal Industrial Plan
IRA	Inflation Reduction Act (United States)
MICAR	Markets in Crypto-Assets Regulation
MIC25	Made in China 2025 industrial policy
OBBB	One Big Beautifull Bill (Trump Administration)
TPI	Transmission Protection Instruments (European Central Bank)
USDC	US stablecoin issued by Circle.

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EXECUTIVE SUMMARY

The global economic paradigm has shifted from globalisation to competition between transformative state projects. Starting with the Biden Administration, the United States has altered the playbook to pursue actively interventionist economic policies that would revive manufacturing and protect its dominance of global value chains. The Biden Administration's Inflation Reduction Act (IRA) deployed generous tax credits to incentivise private investment in cleantech manufacturing and green energy, whereas the second Trump Administration prioritised 'transformative' tariffs and shifted transformative priorities from cleantech to Artificial Intelligence (AI). The US turn to overt industrial policy was in part driven by national security concerns about the transformative potential of the *Made in China 2025* industrial policy strategy. The EU has also pursued transformative projects, with the European Green Deal, the Clean Industrial Deal and the AI strategy outlining 'transformational business' plans that combine climate action and competitiveness under a growth strategy.

Against the rapidly shifting geopolitical terrain, this briefing paper examines the risks and opportunities in the evolving relations between the EU and the US across three related domains: short-term macrofinancial developments, structural challenges across green and digital industrial strategies, and the global role of the Euro.

KEY FINDINGS

1. Rather than US tariffs, it is the growing potential for an AI Minsky moment in the United States, fuelled by shadow banking, that could threaten macrofinancial stability in Europe in the near term, while creating the conditions for a multipolar AI world that would allow the EU to orderly reduce its structural dependencies on the US and preserve its risk-based AI approach.
2. Europe's fundamental challenge is not (private) financing but state capacity to successfully pursue the industrial and credit policies required to compete in a new era of global competition between transformative state projects, squeezed between soft budget constraints in the US AI sector and soft budget constraints in China's cleantech sectors, deployed in aggressive pursuit of market shares.
3. For global Euro ambitions to be realistically pursued, Eurodollar stablecoins must be governed by European rules, while the ECB should scale up its local market maker and global lender of last resort frameworks.

In the near term, rather than US tariffs, it is the growing potential for an AI Minsky moment in the United States, fuelled by shadow banking financing of the AI investment boom and rapidly spreading soft-budget constraints, that could threaten macrofinancial stability in Europe. The unravelling of the US AI investment boom would scale up the conditions for a multipolar AI world where the EU could orderly reduce its structural dependencies on the US and preserve its risk-based AI approach.

Europe's fundamental structural challenge is not (private) financing but state capacity to successfully pursue the industrial and credit policies required to succeed in a new era of global competition between transformative state projects. The EU's derisking-based, 'carrots only' industrial strategy has not delivered at the pace and scale required. It needs a fundamental rethink to match the aggressive statecraft promotion of US AI and Chinese cleantech/AI competitiveness. In turn, the EU has a glut of institutional capital and a shortage of state capacity to direct credit flows into strategic European priorities. The EU should build state capacity for an 'incentives and discipline' industrial/credit approach, from cleantech to AI and other strategic new areas, leveraging its sustainable finance initiatives.

For global Euro ambitions to be realistically pursued, European authorities must reduce the regulatory arbitrage at the core of Eurodollar stablecoins, make a digital Euro a credible alternative, and scale up the ECB's local market maker and global lender of last resort frameworks. Renewed ambitions for a global role for the Euro need to be matched by institutional updating. Building stronger capital markets, or pan-European savings instruments, will not be enough to make the Euro a credible contender to the US dollar, as Europe already has a glut of institutional capital, relatively larger than the US, chasing yields in cross-border markets, including AI-related US equity markets. The Euro needs credible safe assets – government bonds of the euro area – backstopped by the ECB, including through new instruments like the US Federal Reserve's Bank Term Funding Program, and a comprehensive global lender of last resort function. To preserve monetary sovereignty, European authorities should reduce the stablecoin regulatory arbitrage that threatens to create a private, runnable, dollar-pegged standard in European capital markets and, in parallel, should create a digital Euro with holding limits differentiated across individuals and corporations so that it can become a credible alternative to stablecoins.

1. GROWING IMBALANCES IN THE US GROWTH MODEL AND HEADWINDS FOR EUROPEAN ECONOMIES.

Six months after 'Liberation Day' tariffs announced on 2 April 2025, there was no sizeable impact on EU-US balance of payment flows. In the second quarter of 2025, the euro area registered an EUR 14 billion current account deficit with the US, following a small surplus of EUR 3 billion in 2024 (0% of GDP), and a deficit of USD 30 billion (0.2% of GDP) in 2023. While the goods trade surplus increased in the first half of 2025 (see **Figure 1**), it was offset by a growing deficit in both the services balance, reflecting rapidly growing intellectual property imports, and in the primary income balance. The goods trade surplus partly reflects statistical effects of artifact of shifts in global corporate structures rather than a surge in export competitiveness (Emter et al, 2025). This dynamic was primarily fuelled by a sharp rise in pharmaceutical exports (**Figure 2**), in turn generated by the Irish affiliates of US multinational enterprises (MNEs). A significant portion of the surplus stemmed from "contract manufacturing" arrangements, through which US MNEs outsourced production to firms outside the euro area and shipped the finished goods directly to third-country markets, including the US. These transactions, captured in the balance of payments, artificially inflated the reported goods surplus, obscuring the underlying geography of production.

Figure 1: Current account, euro area vs United States, in % of GDP

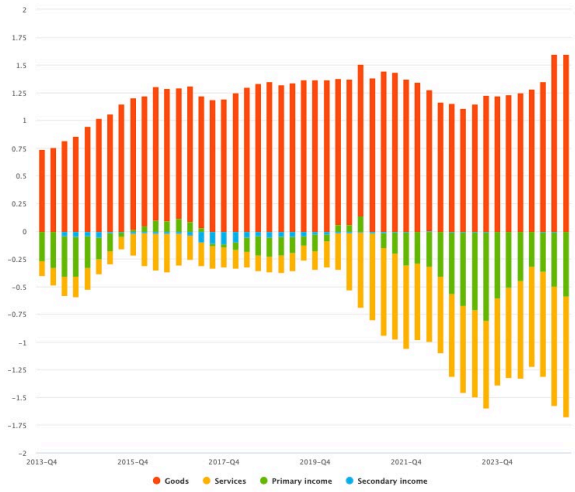
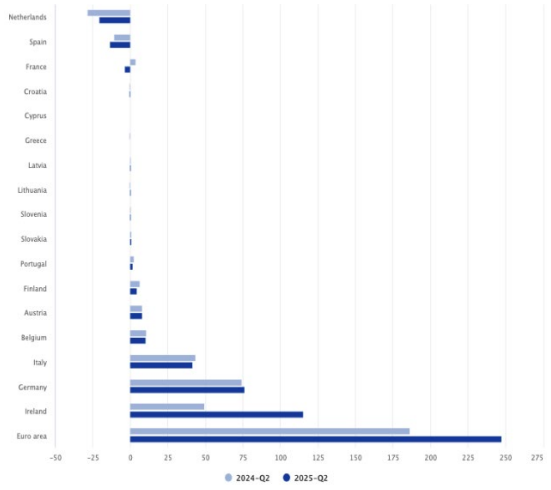


Figure 2: Goods balance, euro area vs United States, bn euros



Source: European Central Bank

While considerable uncertainty around US tariff policy and possible reversals remained, the July 2025 US-EU tariff agreement saw the US commit to applying the higher of either the US Most Favoured Nation (MFN) tariff rate or a tariff rate of 15% on EU goods, and from September 2025 only the MFN tariff to unavailable natural resources (including cork), all aircraft and aircraft parts, generic pharmaceuticals and their ingredients and chemical precursors. Additional tariffs on steel and aluminium raised the effective tariff rate to around 13.1%. At such levels, the impact is expected to be relatively muted in the first few years – around a cumulative 0.7% over 2025-2027 according to ECB

estimates[1], but could increase depending on US Section 232 investigations regarding sectoral tariffs for pharmaceuticals, semiconductors and lumber. A change in the pharmaceutical tariff structures may be particularly significant, given the large footprint of US corporations in the goods exports and service/primary income flows, should these decide to shift production to other jurisdictions who accommodate tax and regulatory arbitrage.

The US is the EU's largest financial partner, with the euro area becoming an increasingly large net creditor to the United States, mainly driven by growing portfolio investment in US equity markets. After a slowdown in 2022 and 2023, when European investors reduced their exposures to US equities in particular, net assets returned to an upward trend (**Figure 3**). Uncertainty about US monetary and trade policy had limited impact on European investors' demand for US equity and bonds in the first half of 2025. In part, this reflects positive price revaluations as the USD registered a sharp slide in April 2025, when non-US institutional investors moved to hedge their dollar exposures (Shin et al., 2025). In flow terms, euro area investors poured around EUR 419 billion in US equity and debt securities throughout the second quarter of 2025, attracted by the performance of AI-related companies (**Figure 4**). Foreign direct investment flows also turned positive following a period of retrenchment, albeit these being 'financialised' flows that reflect the tax and profit strategies of multinational corporations operating in the euro area (Lane 2024). Conversely, euro area dominates the foreign investments of US financial institutions. However, long chains of intermediation – securities traded in secondary markets and held via custodians - make it difficult to identify exactly the origin of non-resident holders of equity and debt securities issued by euro area residents. Estimates suggest that US investors, the largest foreign investors, held around 28% of euro area equity, and around 20% of euro area debt securities.

Figure 3: Euro area net investment position vs. US, 2013-2025Q2, EUR billion, stocks outstanding

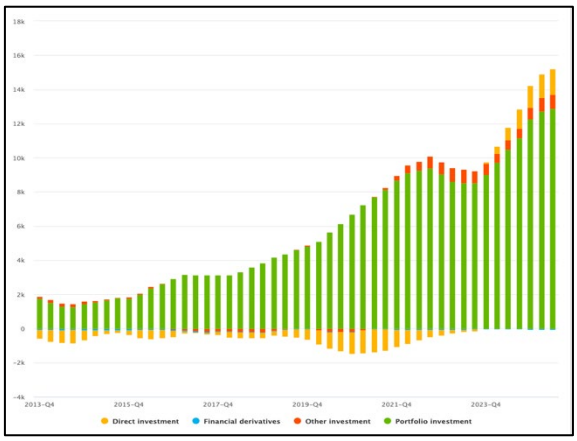
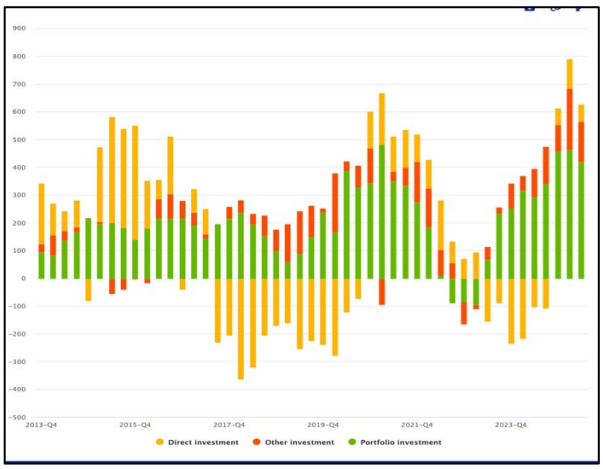


Figure 4: Euro area Assets vs US, flows, %GDP, 2013-2025Q2



Source:
https://www.ecb.europa.eu/stats/balance_of_payments_and_external/balance_of_payments/html/index.en.html

The US had a stronger growth performance and faster disinflation after the COVID19 pandemic, on the back of a more active fiscal stance and growing financial sector imbalances. After the post-

[1] https://www.ecb.europa.eu/press/projections/html/ecb.projections202509_ecbstaff~c0da697d54.en.html

COVID19 pandemic rebound, the US has grown at faster rates than the EU average, with significant heterogeneity across the EU (**Figure 5** and **Figure 6**). The US ran larger budget deficits, and is predicted to continue this trajectory, without a substantive sovereign yield penalty compared to large European economies (**Figure 7** and **Figure 8**). These are facing significant structural challenges ahead, with Germany's economic contraction in 2023 and 2024 threatening to extend to 2025 and beyond, despite an overdue turn to fiscal expansion, because of the structural headwinds for its export-led growth model. In contrast, the Spanish economy outperformed European peers, on the back of significant growth in public investment, in part financed by NextGeneration EU funds. The US future growth trajectory is hard to predict given the uncertainties around trade policy measures, the potential unwinding of the AI investment boom and/or private credit market stress.

Figure 5: GDP growth, selected EU countries, US

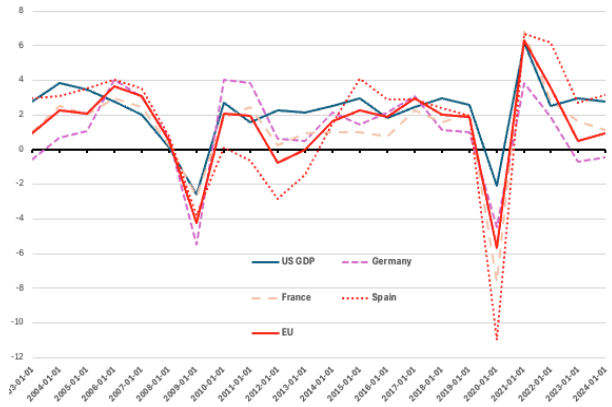


Figure 6: Inflation, US, EA, EU

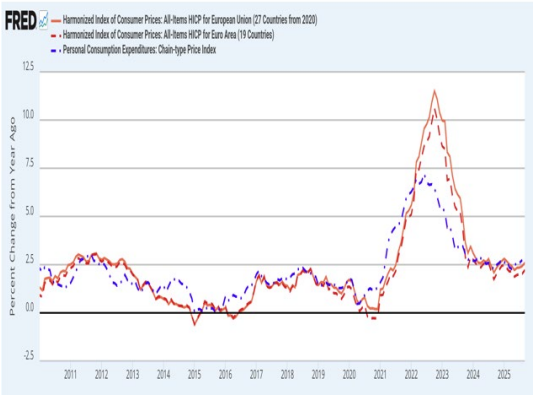


Figure 7: Budget deficits, in % of GDP, US vs EU/EA averages

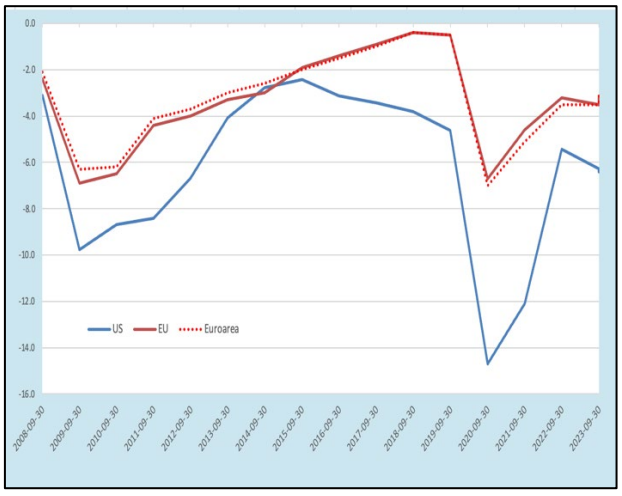
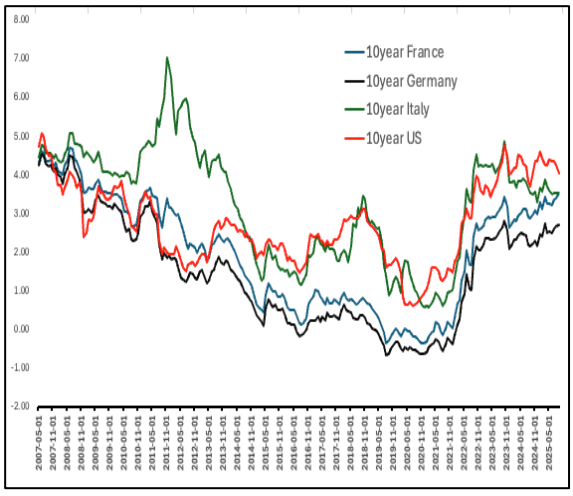


Figure 8: Sovereign bonds, 10year yields, selected European countries vs US

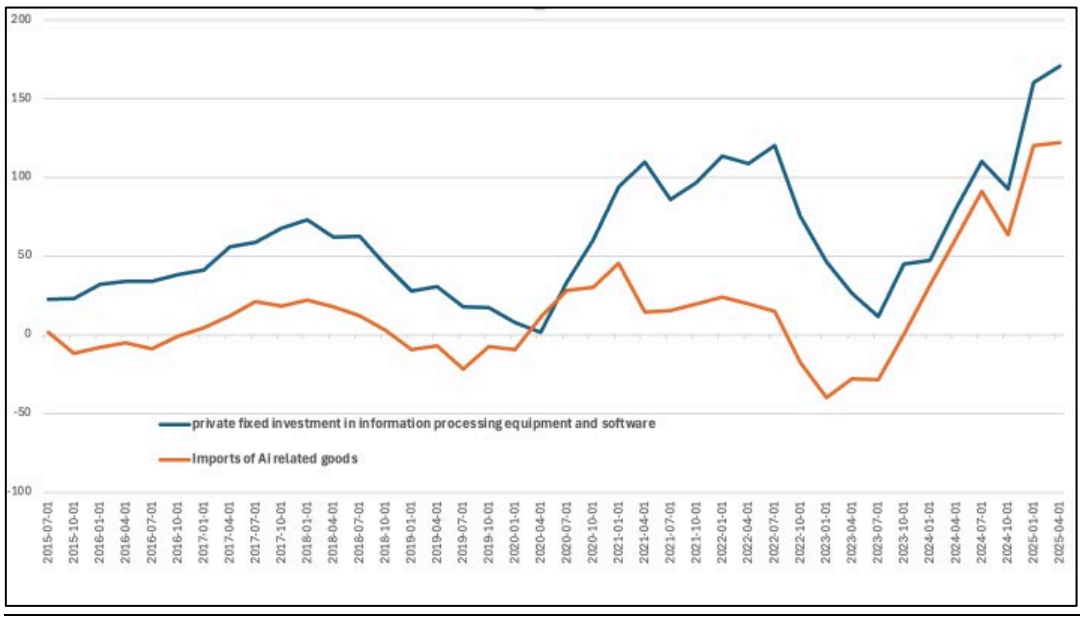


Source: compiled with data from the US Federal Reserve, FRED database.

There is growing concern that the AI investment boom in the US has the distinctive features of an asset bubble (Bank of England 2025a[2]). US private investment in AI, including datacentres and related infrastructure, increased rapidly since 2023, and is predicted to accelerate. The large US technology companies – Amazon, Alphabet, Meta, Microsoft, Tesla and Oracle – undertook a combined USD 600 billion in capital expenditure over 2024 and 2025, alongside investment by AI start-ups like OpenAI. In comparison, the EU's AI Action Plan envisages around EUR 200 billion investment by 2030, with EUR 50 billion coming from public funds and EUR 150 billion from private investors.

The AI investment boom affects economic growth through several channels: investment in equipment and infrastructure (hardware, semiconductors and other computing equipment, data centres/power production), in intellectual property (R&D/software), and net exports of AI related goods and services. Indeed, US imports of AI related goods (graphics processing units/GPUs, central processing units/CPUs, and printed circuit assemblies/PCAs) have also risen rapidly (**Figure 9**). There are, however, supply and demand questions about this rapid growth and the potential financial stability implications of a massive capital misallocation. On the supply side of AI, it is important to note that the AI race is highly capital-intensive, and its investment cycles are shorter than those of cleantech. Nvidia, the US chips manufacturer, reports that spending on chips alone constitute around 50-65% of the outlays in a new data centre, with a replacement cycle for chips of around three years. Bar radical chip technological advances, this capital investment will need to be matched by sustained increases in revenue.

Figure 9: AI-related private investments and imports, year-on-year change, USD billions



Source: compiled with data from the US Federal Reserve, FRED database.

The US AI sector is operating under a soft-budget constraint model that can, in my view, potentially give rise to an AI Minsky moment, where financial instability becomes explosive and leads to a market correction of AI-related stocks and debt. On the demand side, it is yet unclear how

[2] https://www.bankofengland.co.uk/-/media/boe/files/financial-policy-committee-record/2025/fpc-record-october-2025

AI hyperscalers will generate the revenue to cover these spending requirements, e.g., through user fees and other vehicles to monetise investment pending. For the past two years, the large US technology companies funded their combined USD 600 billion capital investment from retained earnings generated by other activities[3]. In contrast, the ten largest lossmaking AI start-ups gained close to USD 1 trillion in market valuation over 2025, while funding their activities through loans from venture capital and private equity/credit markets. Their user-generated revenue combined is predicted to reach around USD 40 billion in 2025, a fraction of investment spending. For instance, OpenAI expects to become profitable only in 2028. The Hungarian economist Janos Kornai (1986) conceptualised this as a soft budget constraint phenomenon, where loss making companies can continue to operate with support from the state, or, in this case, from private investors. The expectation of sustained funding insulates AI firms from market discipline, fuelling an "economics of compute" characterized by aggressive investment spending and increasing likelihood of capital misallocation.

The consulting firm Bain & Company calculated that global demand for AI products – revenue from individual, corporate and government users – would have to reach USD 2 trillion by 2030 to match the predicted pace of AI investment spending. Put differently, there is a significant threat of overcapacity in the US AI sector. Should these revenues materialise, as budget constraints harden, the US economy could face an *AI Minsky moment:* financial instability builds during a period of exuberant optimism, fuelled by rapidly rising debt, until AI firms' cash flows are no longer sufficient to cover interest and principal payments – what Minsky (1992) termed Ponzi finance – and AI asset prices and debt collapse, triggering contagion through the US shadow banking/market-based system.

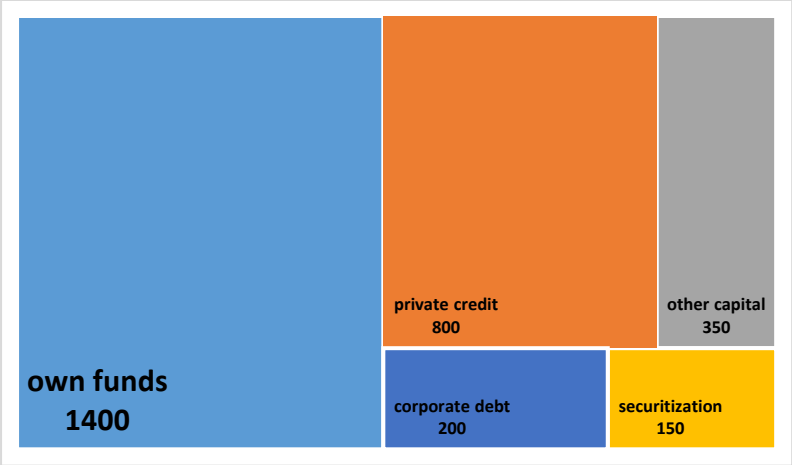
An AI Minsky moment via shadow banking is a distinct possibility, since the US shadow banking system (private equity, hedge funds, venture capital funds) is a growing funding source for the AI investment boom. Venture capital spending on AI start-ups was estimated to reach USD 161 billion between January and September 2025. Shadow funders of the AI boom are resorting to securitization, with debt securities backed by data centre loans estimated to have reached USD 50 billion by September 2025, with echoes of the subprime mortgage securitization. Hedge fund borrowing hit a record high of USD 6.2 trillion by June 2025, with USD 3.1 trillion via the repo market, a systemic shadow market vulnerable to the liquidity spirals that brought down Lehman Brothers in September 2008 (Brunnermeier and Pedersen 2009)[4]. The private credit market, where shadow banks like private equity firms extended credit in opaque lending practices, increased to USD 1.4 trillion by 2025 (Berrospide et al., 2025), with regulated banks lending around USD 100 billion to private credit vehicles, increasing interconnectedness in the financial system. While the opacity of private credit structures impedes a clear picture of private financing of the AI boom, anecdotal data indicates a substantive shadow banking footprint: for example, OpenAI raised USD 8.3 billion in August 2025, in an oversubscribed round, from venture capital (USD 2.8 billion from Dragoneer Investment Group) and private equity firms (Blackstone, TPG, Founders Fund, Sequoia Capital, Andreessen Horowitz, Coatue Management, Altimeter Capital, D1 Capital Partners, Tiger Global and Thrive Capital). Furthermore,

3 https://think.ing.com/articles/the-usa-could-easily-spend-billions-on-artificial-intelligence/

4 https://www.financialresearch.gov/hedge-fund-monitor/categories/leverage/chart-23/

Morgan Stanley estimates suggest that the USD 2.5 trillion AI infrastructure spending over the period 2025–2028 will be covered, aside from hyperscalers own funds (USD 1.4 trillion), through shadow banking, including private credit markets (USD 800 billion), other capital (venture capital, private equity funds, sovereigns, USD 350 billion) and securitization (USD 150 billion).

Figure 10: AI infrastructure financing, bn U.S. dollars, 2025–2028

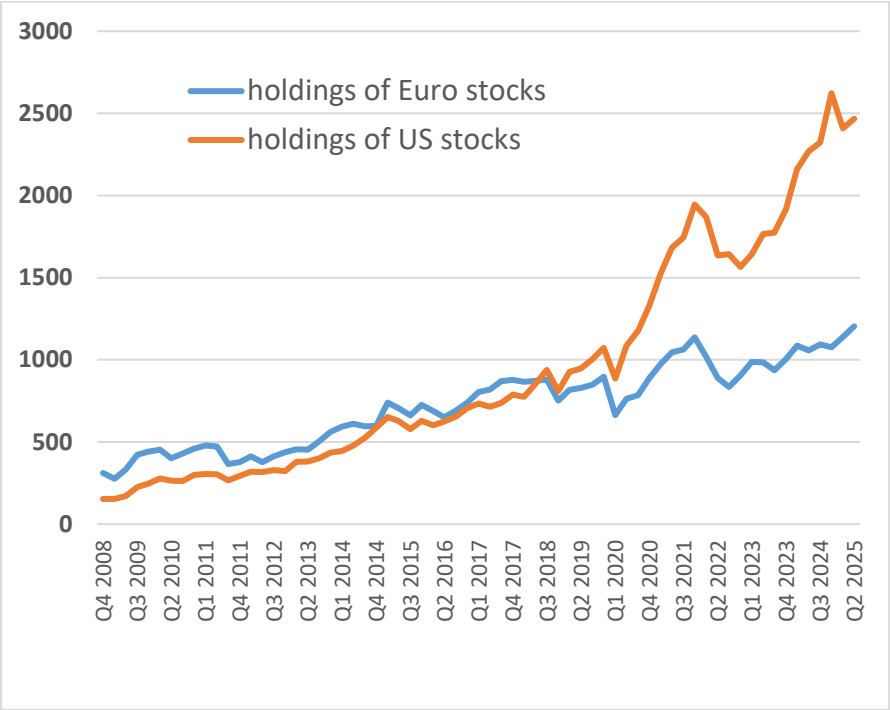


Source: estimates by Morgan Stanley (2025).

A correction of the AI boom could trigger contagion across private credit markets, debt and wholesale repo funding markets, travelling to Europe via US dollar funding markets and EU investors' holding of AI-related equity and debt. EU investors could be affected by the attending adjustments in equity valuations and the strains in US dollar and repo funding markets. Take euro area open-ended equity funds, which pull capital to invest in equity and grant their investors daily redemption. Since 2018, their holdings of US equity rapidly outpaced holdings of European equity, reaching around EUR 2.4 trillion in June 2025, compared with EUR 1.2 trillion holdings of European security (see **Figure 11**). Stress in US AI-linked equity markets would trigger redemption requests from European investors, and pressure these equity funds into firesales of equity, amplifying downward pressures on equity prices, and potentially creating crossborder contagion to European equities. Additionally, these funds have currency mismatches (investing in USD equity, redeeming in Euros) that could exacerbate dollar funding pressures for European banks. Indeed, a 2025 report by the European Banking Authority warned that around a quarter of EU banks did not have sufficient dollar funding to cover exposures, while the outstanding amounts of euro area banks' US dollar repos doubled between 2022 and 2024, reaching EUR 1.6 trillion. While the ECB has access to dollar swaps with the US Federal Reserve, its access could be restricted by the Trump Administration.

In the medium term, the US AI market correction would allow the EU to reduce the structural dependency on US software and hardware for its AI investment push. It could lead to a multipolar AI world that would allow the EU to scale up its AI capabilities in a manner that more deliberately balances the risks and opportunities of large-scale AI deployment.

Figure 11: Euro area open-ended equity funds, equity holdings, billions of euros



Source: compiled with data from ECB.

Inflationary pressures have subsided in both EU and the US, while the inflationary impact of the new US tariff regime has been more muted than expected. Both the euro area and the EU experienced sharper inflationary shocks – as the COVID-19 pandemic and Russian invasion of Ukraine pushed energy prices higher – than the US throughout 2021-2023. US tariff-related pressures were muted six months after Liberation Day, due to a combination of lower realised tariff rates (10% compared to the 18% rate announced), and the appreciation of the euro/EU currencies against the US dollar[5]. These dynamics are subject to increased uncertainty and future shocks, from the Trump administration's renewed tariff tensions with China to deflationary forces in the US economy (falling energy prices, a slowdown in housing rent increases, easing wage pressures), and financial market stress related to the growing AI investment boom in the US.

Monetary policy stances appear to be re-converging. The Federal Reserve increased policy rates faster and maintained them higher since the COVID19 pandemic, reflecting both the stronger US economic performance and a faster disinflation process. In contrast, even as the ECB eased the cost of liquidity faster, its balance sheet has shrunk at a faster pace. The balance sheet is a powerful tool that reflects unconventional monetary policy measures, from emergency lending to outright purchases of corporate and sovereign bonds. Unwinding those measures – what is known as quantitative tightening – further tightens financial conditions, removing price support for sovereign and corporate bonds. While both the ECB and the Federal Reserve have adopted passive unwinding, simply allowing bonds

[5] According to ECB calculations, the euro appreciated around 11% against the US dollar between April and September 2025 (see https://www.ecb.europa.eu/press/accounts/2025/html/ecb.mg251009~eec3e95eb5.en.html).

in their portfolio to mature, the Federal Reserve announced in October 2025 that it would pause quantitative tightening, to preserve an ample reserves supply regime.

Figure 12: Central bank policy rates, US vs euro area, 2010–2025

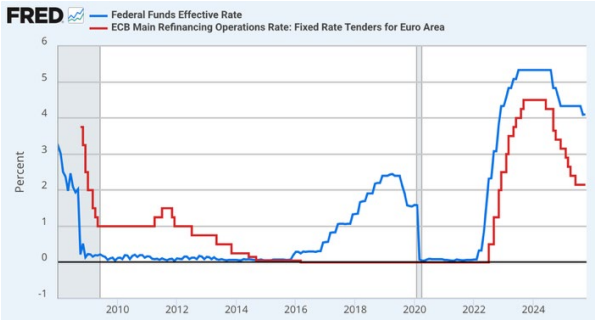


Figure 13: Central bank assets, US vs euro area, USD/EUR billion, 2000–2025

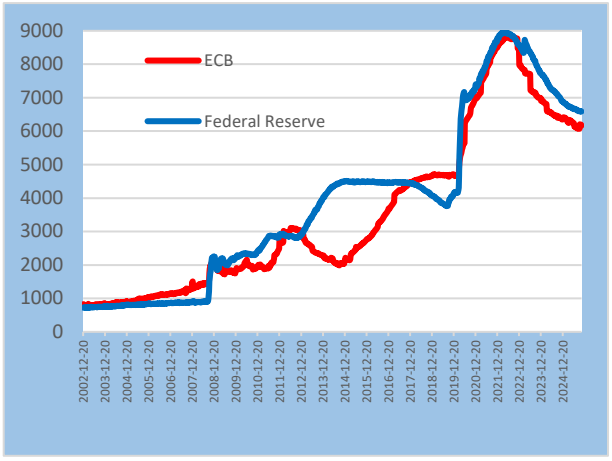


Figure 14: EUR/USD and nominal broad USD index (right)

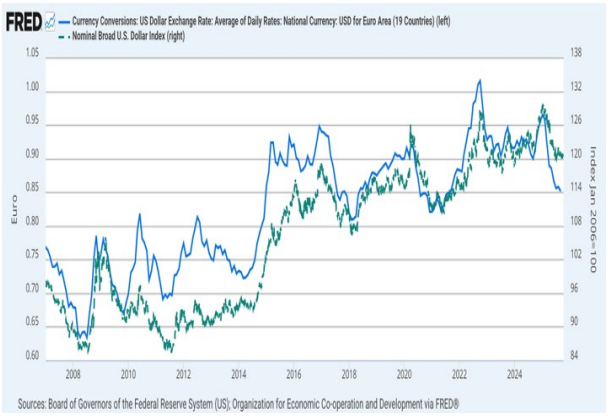
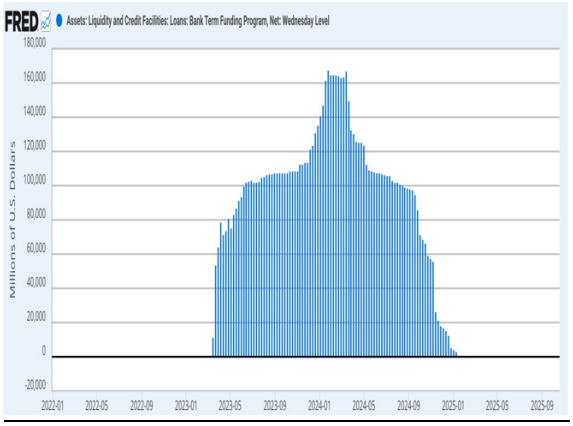


Figure 15: US Bank Term Funding Program, USD million



The US Federal Reserve has a broader toolkit of extraordinary liquidity interventions to backstop market-based financial institutions, wholesale (repo) funding markets and the US Treasury market. While central banks across the EU and the US have followed similar strategies of quantitative tightening, passively allowing bonds in their portfolio to mature, the US Federal Reserve introduced the Bank Term Funding Program (BTFP) in March 2023, following the collapse of Silicon Valley Bank. The BTFP loans have a 'par value' collateral regime that accepts collateral at outstanding face amount, 'an additional source of liquidity against high-quality securities, eliminating an institution's need to quickly sell those securities in times of stress' (US Federal Reserve 2023). The BTFP abandons the standard collateral valuation: haircuts, daily mark to market and margin calls, typically measures deemed necessary to curtail moral hazard (Bindseil et al., 2017). With this, the Federal Reserve effectively backstops the US Treasury market, reducing the potential for liquidity spirals in systemic collateral markets (Brunnermeier and Pedersen 2009). It would thus reinforce the global safe asset status of US Treasury bonds. In contrast, the ECB's collateral valuation reinforces market stress in securities

collateral markets, including sovereign bond markets (Gabor and Ban, 2016) that secure funding in the European repo market. To stabilise the repo EUR 12 trillion repo market, the ECB can activate the Transmission Protection Instrument (TPI), purchasing securities on the secondary market as a market-maker of last resort for systemic collateral, as central banks routinely do (Hauser 2021). But TPI purchases of government bonds are conditional on ECB's judgment of the extent to which prices diverge from 'country-specific fundamentals', and therefore warrant public support. Such restrictions may delay action and increase uncertainty, raising questions about the potential global role of the euro.

***Summing up*:** In the short run, the US tariff threats to EU macro-financial instability seem overblown. The more pressing concern is the US AI investment boom, increasingly funded through US shadow banking, including by European investors. For instance, European equity funds held around EUR 2.4 trillion in US equities by October 2025. An AI Minsky moment in the US, where AI companies can no longer meet their interest payments and where AI-related equities crash, could threaten EU macro-financial stability through two main channels: (i) *the dollar funding exposures* of European banks and investors in US financial markets that create dollar liquidity strains, and (ii) *contagion* to European equity and wholesale funding markets secured by systemic collateral, including sovereign bonds, which in turn increases local liquidity strains.

Over the medium term, a correction in the US AI investment boom would create the conditions for a multipolar AI world that would allow the EU to orderly reduce its structural dependencies on the US and preserve its risk-based AI approach.

***How does this matter*:** The ECB/EU central banks have, since 2008, developed tools to address dollar and local liquidity strains. But there are new geo/political obstacles in the way of an effective activation of these tools. The ECB handles dollar liquidity strains through the swap line it has with the US Federal Reserve, which allows it to exchange euros for dollars and lend these out to European financial institutions with dollar funding mismatches. However, the US Federal Reserve's global dollar of last resort actions may be co-opted by the Trump Administration as a tool of active statecraft deployed to obtain further regulatory, trade, or investment concessions, leaving the ECB and financial stability more broadly vulnerable to geopolitical uncertainty. To manage these threats, European authorities should take steps to reduce the dollar funding pressures of European banks and to improve the supervisory coordination and regulatory regime around euro area equity and bond funds (and, to be developed in section 3, Eurodollar stablecoins).

Conversely, the ECB handles local liquidity strains in the EUR 12 trillion repo market, the largest wholesale funding market in Europe, through TPI purchases of sovereign bonds that stabilise the value of sovereign collateral and shadow banks' access to repo funding. It could expand its toolkit by adopting the Federal Reserve's Bank Term Funding Program instrument, which provides emergency liquidity without marking sovereign collateral to market daily, and by relaxing the 'fundamentals – warranted only' constraints on TPI interventions.

2. STATE CAPACITY FOR INDUSTRIAL AND CREDIT POLICIES

The EU operates in an environment increasingly shaped by an US administration that is deploying economic statecraft measures to revitalise its global economic dominance, and China's industrial policy aimed at turning it into a global tech powerhouse. Both approaches have at their core soft budget constraints, enabled in the US AI sector by a deregulatory push combined with private financing of the investment boom, and in China's cleantech by state subsidies and other forms of industrial policy support. Soft-budget constraints can promote innovation by allowing firms to explore new, uncertain technological frontiers without the immediate concern of profitability, with the support of irrationally exuberant investors, or the state, or both (Jerneck 2020). These create new structural risks and demand novel industrial policy responses from the EU.

China's industrial policy is rapidly converting it into a technological powerhouse. A decade on since the launch of the *Made in China 2025* industrial policy strategy, China achieved significant success in its transformative ambitions to nurture national champions into global leaders in cutting-edge technologies across several strategic sectors: information technology (AI, IoT, smart appliances); robotics (AI, machine learning); cleantech (energy efficiency, electric vehicles); aerospace equipment; ocean engineering and high-tech ships; railway equipment; power equipment; new materials; medicine and medical devices; agriculture machinery[6]. The ingredients to its success range from foreign technology acquisition, outbound investment to circumvent trade restrictions and policy adaptability to adjust industrial strategy to shifting geoeconomic conditions (Chan 2025). Looking ahead, US national security experts[7] identified six battleground sectors for the US-China technology competition: advanced manufacturing, biotechnology, advanced compute and microelectronics, next-generation energy, advanced networks, and artificial intelligence (AI). How these will unfold depends on China's ability to navigate problems of excess capacity and competition in its economy, restrictions on export markets, and US-China trade tensions.

China's industrial policy deploys a sophisticated 'carrots and sticks' toolkit of fiscal and credit interventions to discipline private capital into its strategic priorities. For instance, the Electric Vehicles (EV) strategy set performance targets: 2 million EVs by 2020 and 20 percent of all auto sales by 2025 (Gabor and Braun, 2025). The carrots for local producers included subsidised credit, technological transfer requirements in joint ventures, trade barriers against foreign battery producers, consumer subsidies and tax breaks to increase demand, public procurement benefits, charging infrastructure investment. The Ministry of Industry and Information Technology designed sticks such as production penalties, a dual-credit system that rewarded EV producers with tradable credits and penalised those who failed to meet certain EV sales thresholds, forcing them to purchase credits[8].

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[6] By 2023, China was deploying as many industrial robots as the rest of the world combined. China's share of electricity in final energy consumption increased to 30% by 2024, from 20% a decade before, whereas both the US and Europe had been flatlining over that period. In 2001, Europe accounted for 65% of global wind and solar capacity, followed by the US (21%) and China (0.6%). As the post-2008 recession and austerity strangled the European solar and wind industry, Europe's leadership made way for China. By 2024, China was installing 63%, Europe 12% and the US 7.7% of total global capacity.

[7] See Hearing on 'Made in China 2025 – Who is Winning?', the United State Senate US China Economic and Security Review Commission. https://www.uscc.gov/hearings/made-china-2025-who-winning

[8] State-owned Chongqing Changan Automobile Co. lost 4,000 yuan in profit for each car sold in 2020 as it bought credits to avoid the penalty.

China turbocharged EV production with intense competition between firms and became a powerhouse in the global EV market by mid-2024.

The Chinese state relied extensively on credit policy, through a complex system of state-owned banks and government guidance funds (GGFs) that operate with sector-specific mandates and geographical targets written directly into five-year plans, investing as a limited partner in other 'sub'-funds set up in cooperation with private capital. With local and central governments as investors, GGFs were funded from fiscal budgets or state-owned companies' budgets and prioritised strategic industrial goals rather than financial returns. For example, China National Integrated Circuit Industry Investment Fund raised nearly USD 100 billion to invest in China's domestic semiconductor capabilities between 2014 and 2024, whereas public venture funds account for more than 40 per cent of total investment in critical sectors like semiconductors, quantum computing, and cleantech (Li and Ban 2025). State support improved technological performance, as firms backed by government funds filed around 15% more patents than those funded solely by private venture capital. It relied on soft budget constraints across sectors as a strategy to accelerate technological shifts, with the share of loss-making companies rising to over 20% in the cars and electric machinery sector, 27% in machinery, and 35% in computers, communication and equipment, among others[9]. Such practices of investment stampedes, oversupply and excess capacity have been a defining characteristic of succesfull industrial development pushes, including in post-war Japan (Jerneck 2020).

Under the Biden Administration, the US embraced a carrots only, 'big-fiscal, low discipline' de-risking approach to industrial policy via the Inflation Reduction Act (IRA), accelerating a global cleantech race. De-risking-based industrial policy deploys incentives (carrots), with ex-ante eligibility criteria, such as tax credits, guarantees and subsidies, and preferential regulations, to improve risk-adjusted returns and mobilise private investments. The US IRA combined tax-credits and subsidised loans through the Loan Programs Office at the Department of Energy. It stacked tax credits that US and foreign corporations could access under ex-ante criteria set by the IRS tax authority in cooperation with other institutions (e.g., the Department of Energy). It was a low-discipline regime in that investors were allowed to choose which IRA subsidies to tap, and could for instance forego tax credits that rewarded them for meeting wage or domestic content criteria (Gabor and Braun 2025). The fiscal subsidy could reach up to 70% of the cost of investments in solar (and storage), of producing wind and nuclear energy, for manufacturing electric vehicles or batteries, for carbon capture or green hydrogen production. In contrast to the Chinese institutional setting, the IRA did not increase state capacity to closely coordinate with, and where necessary, discipline the corporate beneficiaries of state subsidies, putting private capital in the driving seat of the US transformative ambitions (Gabor 2023). *The IRA allowed the private sector to set the pace and scale of investments in sectors that the Biden Administration deemed strategic.*

The IRA's incentive-based de-risking approach left private investment vulnerable to macro-financial headwinds and increased American deployment at a substantively slower pace than the systemic transformation being engineered by China, the US's primary strategic rival. The IRA unleashed a historical clean investment boom, with clean investments increased by USD 600 billion, across new manufacturing capacity and clean energy generation, carbon capture and green hydrogen.

[9] https://www.ft.com/content/f7979a8f-874a-4b47-8304-d93d30171980

In parallel, the LPO announced 53 deals totalling USD 107.57 billion in committed project investment, of which USD 60.62 billion for 25 closed loans and loan guarantees. Yet changing macro-financial conditions affected the pace of investment. The US Federal Reserve's response to the inflationary shocks of 2022–2023, via aggressive interest rate hikes, increased the cost of capital for renewable energy projects whose economics are uniquely sensitive to financing costs. Ørsted, the world's largest offshore wind developer, cancelled two flagship projects critical to New Jersey's energy transition plans in late 2023, explicitly citing soaring interest rates as the decisive factor.

In 2024, the final year of IRA's green energy push, the US installed a domestic record of 50 GW. Scaled by capacity, the U.S. achieved *one-fifth* of China's pace[10] in renewable energy capacity. And it relied on Chinese cleantech for that scaling up, a reflection of China's global dominance in solar value chains. For instance, S&P Global reported that Chinese solar panel exports through Vietnam, Malaysia, and Thailand accounted for 75% of U.S. imports in 2023[11].

The Trump Administration abandoned the cleantech push to embrace a de-risking AI strategy combined with strategic deployment of tariff statecraft. The *America AI Action Plan* has three pillars: innovation promoted through regulatory de-risking, AI infrastructure (streamlined permitting processes for data centres, semiconductor manufacturing facilities and energy infrastructure) and international diplomacy and security (export AI ecosystems to allies and partners, while countering China's AI capacity). For instance, the EU committed to spending USD 40 billion on US-made chips as a part of its trade agreement with the United States.

The US government entered partnerships with AI companies, such as the one-year, low fee partnership with OpenAI for government access to ChatGPT Enterprise. In defence, the Chief Digital and Artificial Intelligence Office awarded Anthropic, Google, OpenAI, and xAI up to USD 200 million to accelerate DoD (defence) AI. The US government also planned to accelerate AI deployment in industries such as healthcare, energy and agriculture. Yet, even more than the Biden Administration's IRA, the Trump AI policy entrusts private capital to deliver on its ambitions for technological supremacy in the global AI race. It relies on irrationally exuberant investors to finance AI companies, temporarily suspending the profit constraint through which markets typically exercise discipline and punish uncompetitive firms. Should the AI investment boom unwind, it is likely that the US government will 'bail out' AI companies, invoking national security concerns about the global AI race with China.

Two fault lines in the US AI strategy should validate the EU's cautious AI approach. First, the Trump administration may struggle to contain China's AI ambitions. Its erratic chip trade restrictions prompted Chinese policy makers to push for a rapid upscaling of domestic chip capacity and to impose restrictions on critical rare earth exports for AI technologies. Its reversal of Biden subsidies for renewable energy threatens the scalable energy infrastructure that is required to meet AI computational demands. This may generate parallel AI ecosystems and forestall a future of

[10] According to data from EMBER, https://emberenergy.org/latest-updates/global-solar-installations-surge-64-in-first-half-of-2025/. See also Adam Tooze, *Beyond the "Marshall Plan": China's solar boom as world-changing industrial policy*. https://adamtooze.substack.com/p/chartbook-409-beyond-the-marshall

[11] https://americansolartradecmte.org/wp-content/uploads/2025/02/AASM-BY-THE-NUMBERS.pdf?utm_source=chatgpt.com

concentrated US AI dominance, carving out space for a multipolar AI world. Second, the aggressive US deregulatory approach has fostered a private AI investment boom, increasingly funded by shadow banking, that could lead to an AI Minsky moment described above. This scenario, where over-leveraged capital misallocation abruptly collapses, would not only slow down the pace of American innovation but also reinforce the conditions for a multipolar AI world. Even as Europe's AI ambitions structurally depend on US AI software, on US cloud hyperscalers, and on US hardware (advanced semiconductors)[12], a multipolar AI world would allow the EU to proceed with a distinctive, precautionary approach that better balances the societal risks and opportunities of large-scale AI deployment.

The 2024 Draghi Report on Competitiveness identified an existential challenge for Europe and called for radical change. It diagnosed a threefold challenge: closing the innovation gap in advanced technologies with the US and China, a joint plan for decarbonisation and competitiveness that addresses, among others, the fault lines in the common energy market that lead to higher energy costs for European companies, and third, geopolitical dependencies, on China for critical raw materials or on the US for AI software and hardware. These need common responses, resources and better EU level coordination. They also need, according to the Draghi Report, common financing, from a Capital Markets Union/Savings and Investment Union that would better mobilise private capital at scale, and common public financing.

In pursuing the Draghi recommendations, the EU institutions and Member States should avoid replicating Europe's earlier de-risking-based industrial strategies, and instead forge genuine state capacity and market integration required for a transformative, globally competitive industrial policy. The starting point is to recognize that the *ways* in which the state organises support for business groups mattered for the success of industrialisation pushes in East Asia and later China (Nem, Singh and Ovadia, 2018). A strategy combining *incentives and discipline* ensured that private capital remained committed to transformational priorities when market signals changed (Wade 2018) and pressured the state into creating 'compulsive institutions' to design and enforce stringent performance criteria, monitoring and enforcement mechanisms, and curbs on market power (Öniş 1991). Credit policy institutions, including the central bank, state-owned banks and private banks, were critical elements of the compulsive toolkit, with close control over credit flows deployed as disciplining mechanism.

Such compulsive institutions were largely absent in both the EU Green Deal Industrial Plan, announced in January 2023, and in the 2025 Clean Industrial Deal. The 2023 GDIP aimed to reverse China's dominance of cleantech manufacturing and to contain the threat of losing market shares to the US IRA aggressive subsidies through a de-risking approach that sought to mobilise private investment in strategic sectors (wind, solar PV, heat pumps, batteries, and electrolysers manufacturing capacity, see Gabor 2023). In the most ambitious scenario, the Commission estimated that Europe could achieve its net zero targets and gain market share in these strategic sectors if it could organise EUR 17 billion of public spending to mobilise EUR 116 billion of private investment over 2023-2030 (European

[12] The EU produced 3 large foundations models in 2025, compared to China's fifteen and the US's 40. Around 70% of European digital services were powered buy the big three US cloud hyperscalers, whereas the EU domestic semiconductor production accounted for less then 10% of global production (Chhangani and Kumar, 2025).

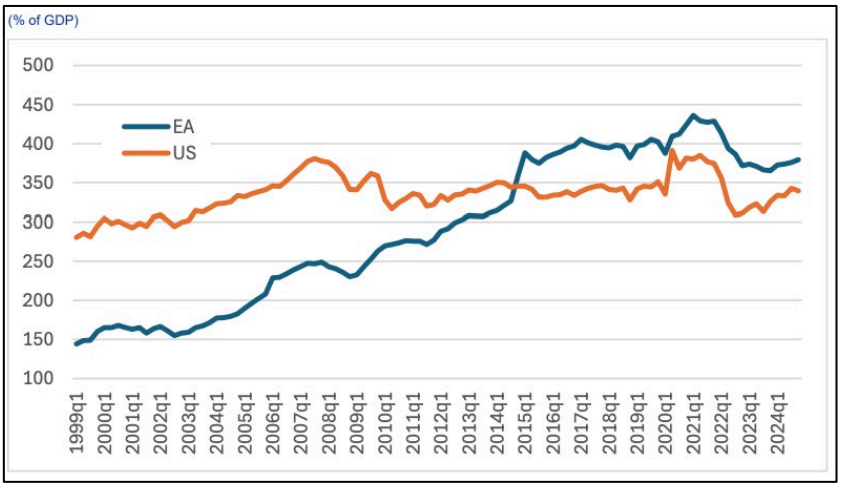
Commission 2023). Such de-risking multipliers turned out to be overly optimistic, while the de-risking approach failed to curb China's growing dominance of cleantech. According to the European Commission's 2025 *Progress on Competitiveness of Clean Technologies*, in 2024, EU manufacturers lost global market shares across wind power technologies and electrolyser manufacturing, and were struggling to compete in battery manufacturing, solar photovoltaics, or ocean energy technologies, as China's excess capacity strategy intensified competition. However, the Clean Industrial Deal envisages the same incentives-based approach. Besides commitments to review the state aid framework and enable greater public spending (the Clean Industry State Aid Framework), the CID aims to build new de-risking institutions, but not state capacity to coordinate incentives and discipline. For instance, the Industrial Decarbonisation Bank would scale 'guarantees, counter-guarantees and blended finance tools' so that 'Europe can de-risk investments in clean industry and unlock large pools of private capital'.

The EU AI Continent Action Plan and the Apply AI Strategy should remain committed to the risk-based approach of the AI Act. These initiatives define key sectors for AI-first approaches (healthcare and pharmaceuticals, mobility, transport and automotive, robotics, manufacturing, engineering and construction, climate and environment, energy, agri-food; defence, security and space, electronic communications, and cultural, creative and media sectors), promotes a 'buy European' approach, particularly for the public sector, with a focus on open source AI solutions, seeks to accelerate the construction of AI infrastructure and AI factories, and sets up new governance mechanisms. The InvestAI Facility seeks to mobilise EUR 200 billion, including a new European fund of EUR 20 billion for AI gigafactories, through public-private partnerships that 'guarantee a secure investment landscape and nurture a competitive and innovative AI ecosystem within Europe'. In these efforts, the European institutions should consider carefully the lessons from previous de-risking-based approaches to mobilising private investment, that have so far failed to produce the industrial policy capacity that can improve European competitiveness.

The Draghi report's calls for unlocking funding via capital markets ignore the little known reality that Europe has relatively larger pools of institutional capital than the United States. The CMU/SIU financing initiatives are based on a common, yet fundamentally misleading dichotomy between bank-based EU and market-based US. Relative to the size of the economy, the euro area's market-based financial institutions, or *institutional capital* – pension funds, insurance companies, investment funds and money market funds, and other financial institutions – were larger than those in the US in 2024 (see **Figure 16**). Furthermore, total financial assets in the euro area were substantially higher, reaching nearly 700% of GDP compared to 500% in the United States in 2024 (Pelizzon et al., 2025). For instance, investment funds, collective investment schemes that manage on behalf of investors a portfolio of tradable and private financial assets, grew rapidly from 37% of GDP in 1999 to nearly 118% of GDP by 2024. In turn, European banks, with assets at around 200% of GDP in 2024, have systemic derivative, repo and capital market footprints and are deeply interconnected with institutional capital, as documented by the 2012 Liikanen Report. Like the US, Europe's financial system is organised around systemic collateral markets – government bond markets (Gabor and Ban 2016), with collateral-based

repo financing markets reaching EUR 10.8 trillion, having nearly doubled from EUR 6 trillion in 2016, compared to the USD 11 trillion repo market in the United States.

Figure 16: Financial assets, institutional capital, euro area (EA) vs US



Source: Pelizzon et al. (2025)

The convergence in market finance scale obscures two structural differences - the privatisation of pension provision and US dominance of asset management. First, one defining disparity is pension provision: US pension funds account for roughly 100% of GDP, compared with around 25% of GDP for euro area pension funds. Second, US asset managers dominate European institutional capital. A substantial portion of European savings is ultimately allocated and overseen by global asset managers—firms like BlackRock and Vanguard - that are predominantly headquartered in, and governed by the geopolitical priorities of, the United States. The top 5 global asset managers are all headquartered in the US, while there are only 5 European asset managers (Amundi, BPCE and Generali, Universal Investment, DWS and Glenmont Partners) in the top 20 global asset managers[13].

The Savings and Investment Union (SIU) cannot solve a shortage of investible capital because Europe does not have one. It risks instead further dismantling the social contract around pensions. The SIU seeks to unleash EUR 8 trillion currently "trapped" in bank deposits and thus meet the AI/Clean Industrial Deal Financing needs (Lagarde 2025). It is pitched as a win-win scenario where retail savers, who now hold one-third of their financial assets in bank deposits compared with one-tenth in the US, adopt the American model of saving and get access to higher-yield financial instruments, while businesses get access to investible capital. But Europeans do not save like the US citizens because Europe hasn't privatised pensions at the same pace as the US (see above). Excluding outliers Denmark and Netherlands, where that ratio is higher than in the US, most EU countries — France, Germany, Austria, Romania, Greece, Spain, Italy — cluster below 20 per cent. If Europeans were to save like the Americans, they would accumulate pension capital, which in turn is managed by private equity firms and other asset managers. As pensions swelled into trillion-dollar asset pools, asset managers, and private equity in particular, have turned social infrastructure – hospitals, roads, energy infrastructure,

[13] https://www.ecb.europa.eu/pub/pdf/sintra/ecb.forumcentbankpub2025_Pelizzon_paper.en.pdf

housing – into investable asset classes that generates reliable returns. American-style finance produces a privatised model of welfare.

Europe, and the world, has a glut of institutional capital. By recent estimates by Morgan Stanley, there is approximately USD 4.5 trillion of investible capital sitting around unproductively (dry powder in the private equity sector) — USD 9 trillion if leverage is factored in — a quarter of it raised more than three years ago. *The real shortage is that of investible projects that offer the risk-adjusted returns that investors expect, and of state capacity to direct credit flows into strategic European priorities.*

The EU has credit policy institutions, including the ECB, that it could leverage to build state capacity for an 'incentives and discipline' industrial approach. The European efforts to realign financial and credit flows towards green activities - through the Sustainable Finance taxonomy/rules and the ECB's framework for the decarbonisation of monetary policy – have generated new credit policy capacity that mirrors, without simply copying, credit policy capacity in China (Dafermos et al., 2021, Gabor and Braun 2025). The ECB's framework for tilting the corporate bond portfolio, and the introduction of a 'climate factor' in the ECB's collateral framework constitute novel forms of credit policy. This is within the existing mandate and was developed to correct the carbon bias created by the commitment to market neutrality in the original design of the euro area monetary policy. By following existing capital market structures, as market neutrality demands, the ECB accommodates the market failure to price climate destruction (already recognized in the ETS system), and is subsidising dirty activities, against the explicit objectives of the Union (Schnabel 2021). But the ECB suspended the tilting strategy in 2023 and will only implement the climate collateral strategy from 2026, under a single materiality approach. It should instead revive the tilting approach, apply it to the outstanding portfolio (rather than repurchases) of corporate bonds and bring forward the climate collateral framework under a double materiality approach (Dafermos et al., 2021). In line with the Draghi report's calls for radical change, it could also consider creating mechanisms for coordination with the European authorities in charge of industrial policy.

***Summing up*:** the EU is increasingly squeezed between two distinctive transformative strategies, the US soft-budget constraints approach to recrafting economic dominance through AI, and China's soft budget push for becoming a cleantech powerhouse. It cannot bet on either failing, although it should prepare for such scenarios. In turn, the Draghi report calls for unlocking funding via capital markets ignores the little-known reality that Europe has relatively larger pools of institutional capital than the US. Europe does not lack financing pools, but the real shortage is that of investible projects that offer the risk-adjusted returns that investors expect. Europe has tried to address this shortage through a derisking-based, 'carrots only' industrial policy strategy, a strategy that ultimately depends on how private investors react to changing market conditions and price pressures. This strategy is not delivering at the pace and scale required and needs a fundamental rethink.

***How does this matter*:** The EU should build state capacity for an 'incentives and discipline' industrial approach, from cleantech to AI and other strategic new areas. Building new de-risking institutions to mobilise private capital will not be sufficient to successfully compete against other transformative state projects with more aggressive deployment of a broader set of statecraft tools. It should set up a European industrial authority that coordinates strategic investments at European level and overcomes

the distributional tensions and trade-offs over distinctive fiscal and financing capacities at Member State level. In parallel, and to strengthen industrial policy efforts, the EU should leverage the newly built state capacity to direct credit flows into strategic European priorities, including at the European Central Bank.

3. THE GLOBAL EURO MOMENT?

While macro-financially the Euro remains an unfinished project, the fracturing of the globalized, US dominated-order and its pillars - the US dollar's reserve currency role, free trade and multilateralism – may constitute a new opportunity. Since its creation in 1999, the Euro has been viewed as a potential competitor to the international reserve status of the US dollar. It appeared to meet the three criteria that scholarship identified for reserve currencies: size of the underlying economy, depth and liquidity of financial markets, and credible store of value (Chinn and Frankel, 2007). With an economy nearly as large as the United States, a bank-based financial system structurally shifting towards capital and repo market-based activities, and an independent central bank coupled with fiscal rules and discipline mechanisms, the Euro seemed a serious contender. Yet, for all its structural heft as the currency of the world's second-largest economic bloc, its journey was one of unfulfilled promise, with the 2010-12 sovereign debt crisis exposing deep institutional fault lines.

The euro could capture some of the exorbitant privilege of the US dollar if European policy makers took decisive steps towards meeting the three criteria for a global reserve currency. It must be used as means of exchange by both public (central banks) and private actors – see **Table 1**. Recently, this included stablecoins. It must credibly store value, dominating the foreign reserves of central banks. The issuing central bank must stand ready to lend to other central banks in times of market stress, as a global lender of last resort. Its tradable public debt must be treated as a safe asset by private actors. Finally, a reserve currency should serve as a unit of account for both foreign public institution (anchoring managed exchange rate regimes), and denominate trade and financial transactions (Eurobonds).

Table 1: Reserve currency - criteria

	Public actors	**Private actors**
Means of exchange	vehicle for fx interventions	*international payments *stablecoins
Store of value	*international reserves *lender of last resort	safe haven (safe asset /government bonds)
Unit of account	anchor for fixed/managed exchange rates	*denominating trade and financial transactions (debt issuance)

Source: adapted from Kenen (1983), Chinn and Frankel (2007)

Notably, the euro has not benefitted from global de-dollarisation. A global reserve currency plays an important role in the foreign reserves of other central banks. The US dollar's share has declined recently, from 62% in 2020 to around 56.3% at the end of June 2025 (**Figure 17**). But this slow-motion global de-dollarisation was not accelerated by the Trump administration's tariff hikes, or the open threats to central bank independence. Foreign central banks' demand for US dollar reserves held up. Rather, according to the IMF, the decrease from the first to second quarter of 2025 reflected dollar

valuation effects, as the US dollar depreciated across most large currencies (and therefore its share automatically decreased). In contrast, the euro's share in global FX reserves stayed roughly at 20% over the past 5 years, even though it represents around 40% in global trade invoicing.

Figure 17: Composition of foreign currency reserves, central banks

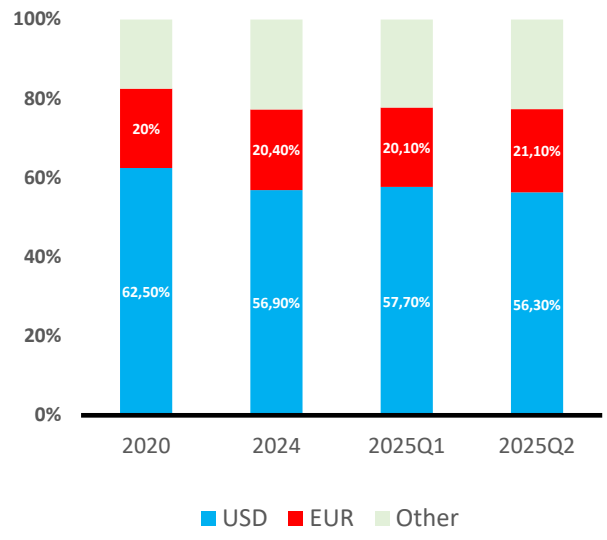
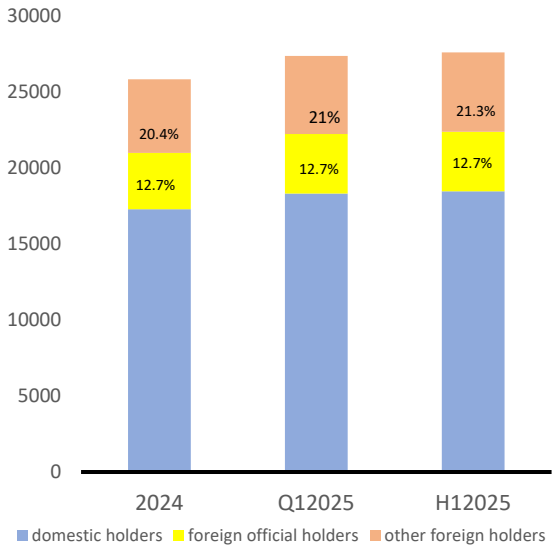


Figure 18: US Treasury bonds volumes (USDbn) and ownership



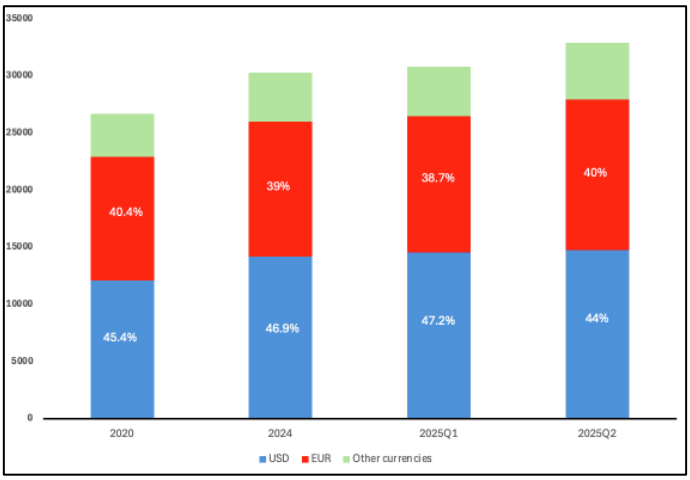
Source: IMF COFER, US Treasury.

Foreign appetite for US public debt also held up throughout the first semester of the Trump Administration. Foreign public and private ownership of US Treasuries remained roughly constant at around 39% by July 2025. The global financial system continues to treat US Treasuries as safe assets, despite the US losing its last AAA rating grade from Moody's in May 2025 and even as the US public debt to GDP ratio at 120% of GDP was substantively higher then both the euro area (88%) and the EU (81.8%) in June 2025, with the IMF predicting that the Trump administration's *One Big Beautifull Bill* would increase that share to nearly 160% of GDP by 2030. Treasury dealers projected US deficits to reach USD 1.94 trillion in 2026 and USD 2.052 trillion in 2027, with projections dependent on tariff revenues, and therefore on the uncertainty around trade negotiations and potential legal obstructions, while overall demand for US government debt remained robust throughout September and October 2025, with bid-to-cover ratios in normal ranges[14].

International debt issuance in US dollars remained steady at 44% of total issuance, whereas the euro-denominated bond issuance increased to around 40% of total issuance in the second quarter of 2025. Furthermore, non-residents held around 22% of euro area government debt in the first quarter of 2025, well below the 34% of foreign ownership for the US.

[14] https://home.treasury.gov/news/press-releases/sb0306

Figure 19: International Debt Securities, by currency



Source: Bank for International Settlements.

The ECB has expanded its global lender of last resort facilities, but these are still more restrictive than at the US Federal Reserve, including for EU Member States with significant euro exposures. Since the 2008 global financial crisis, large central banks – the US Federal Reserve and the ECB – have introduced a two-tiered emergency reserve provision to other central banks: swap lines and repo loans. Central banks with access to swap lines issue their own currencies in exchange for dollars or euros. Those with access restricted to repo loans need to hold US or euro area bond collateral. The repo facility incentivises central banks to borrow against reserve issuers' government bonds rather than selling them during periods of market stress (Dafermos et al., 2024).

After 2008, the Federal Reserve reactivated official swap lines with selected central banks of Canada, euro area, Switzerland, Japan and the UK, in what policy makers described as a 'quantum leap in central bank cooperation' (Papadia 2013). The Fed became a global dollar lender of last resort (LOLR), managing directly the cross-border vulnerabilities of the global dollar financial cycle, a term coined by Rey (2015) to characterise the co-movement of US dollar funding conditions and monetary conditions in countries with liberalised capital accounts. The Federal Reserve extended temporarily swap arrangements during the COVID19 pandemic, with swap lines capped at USD 60 billion for Australia, Brazil, Korea, Mexico, Singapore and Sweden, and at USD 30 billion for Denmark, Norway and New Zeeland. It also introduced the Foreign and International Monetary Authorities (FIMA) repo facility in March 2020 and institutionalised it as a permanent standing facility in July 2021, offering up to USD 60 billion in repo loans against US Treasuries as collateral. Any central bank with a FIMA account at the Fed can tap these reserve repo lines. This ensures a sustained demand for US Treasuries during periods of turmoil: indeed, the Federal Reserve cited the smooth functioning of the US Treasury market as one critical reason for introducing the FIMA facility. Furthermore, in contrast to the longer-term swaps (up to 5 months), the overnight duration of the FIMA loans gives the Federal Reserve daily discretion over renewing the loans, including the terms on which it renews (including applicable interest rates and collateral eligibility criteria).

Like the US Federal Reserve, the ECB has a two-tiered euro liquidity provision to other central banks. It has unlimited swap lines with five other central banks: Canada, Japan, Switzerland, US Federal

Reserve, and Bank of England. Notably, it also has swap lines with the Chinese central bank, up to a limit of EUR 45 billion, and lower cap swaps with the Danish and Swedish central banks. Its temporary swap line with the Polish central bank, opened in the wake of the Russian invasion of Ukraine, was terminated in January 2024. The ECB also offers euro repo loans to the Romanian and Hungarian central banks, alongside several other Eastern European countries where the euro is a reserve currency. Notably, EU Members Hungary and Romania can access emergency euro liquidity from the ECB on *worse* terms than China.

Table 2: ECB euro liquidity provision, swaps vs repo loans

		Volume	Expiry date	Reciprocal
Swap lines, unlimited	Bank of Canada, Bank of Japan, Swiss National Bank of England, US Federal Reserve	unlimited	standing	Yes
Swap lines, limited	PBOC Danmarks Nationalsbank Sveriges Riksbank	EUR 45bn EUR 24bn EUR 10bn	08/10/2028 standing standing	yes no no
Repo lines	National Bank of Romania Magyar Nemzeti Bank Albania, Andorra, North Macedonia, San Marino, Montenegro, Kosovo	< EUR 400 million	31/07/2027	no

Source: compiled with data from ECB.

With the GENIUS Act in July 2025, the US signalled its intention to co-opt stablecoins for geopolitical ends. Since their launch in 2014, stablecoins experienced an explosive growth. Stablecoins are digital tokens pegged to a state money like the US dollar or the Euro, used for settling trades in decentralised finance, crypto exchanges and tokenised asset markets, and for cross-border payments. They are designed to bridge volatile cryptocurrencies with predictable, state-backed money by promising full and immediate convertibility into US dollars or other currencies at par (1:1 convertibility ratio). Issuers back this promise by holding reserves in assets like bank deposits, liquid government bonds, repurchase instruments or bitcoin. The credibility of the par promise depends entirely on issuers' ability to convert reserves into cash and meet redemption requests.

Most payment stablecoins are pegged to the US dollar. In September 2025, there was a global supply of USD 280 billion-dollar stablecoins, dominated by Tether-issued USDT (USD 181.6 billion) and Circle-issued USDC (USD 74.4 billion). The daily trading volumes reached USD 1 trillion. In contrast, EUR stablecoins reached EUR 500 million in outstanding volumes, and a daily trading volume of around EUR 220 million. Without a cap on issuance, the dollar stablecoin supply is expected to grow rapidly, with

estimates up to USD 4 trillion by 2030[15]. Across the world, countries are developing regulatory frameworks that include redemption and reserve rules, disclosure and rules countering illicit activities (Aldasoro et al., 2025).

The new US regulatory system seeks to cement the USD status as the global reserve currency within the rapidly expanding crypto-sphere, pre-emptively foreclosing the space for rival sovereign digital currencies or non-dollar stablecoins, and to increase demand for US government debt, reinforcing its status as global safe asset. Cross-border flows of stablecoins increased rapidly to USD 400 billion by 2025, particularly during episodes of high inflation and exchange rate volatility (Auer et al., 2025). In parallel, it is estimated that around 80% of stablecoin issuers' reserves are held in US Treasuries, amounting to around USD 200 billion in September 2025, a significant new source of demand for US public debt. This raises new challenges for the US-European macro-financial relationship, arising from the hierarchical moneyness of Eurodollar stablecoins.

EU-compliant stablecoins, regardless of their place of issuance, are Eurodollar stablecoins that can be redeemed in Europe. Eurodollar stablecoins are a type of stablecoin pegged to the U.S. dollar but used outside the US and its direct regulatory jurisdiction. By September 2025, Circle's USDC was the largest Eurodollar stablecoin in circulation, alongside several other[16]. Circle, the second largest issuer of dollar stablecoins, achieved compliance with the Markets in Crypto-Assets regulation ("MiCAR"), the EU's landmark crypto law, for USDC in July 2024[17], followed by several others, most notably USD1, issued by the Trump-linked World Liberty Financial in July 2025. While the ECB and the European Systemic Risk Board urged the European Commission to ban the multi-issuance model, i.e. Eurodollar stablecoins[18], by November 2025 the Commission had not issued such a clarification. Instead it insisted that the existing MiCAR regulations address the risks of fungible stablecoins, de facto accepting that a stablecoin issued by a US entity in the US was equivalent to a stablecoin issued by its European arm and could be redeemed in Europe if it met MiCAR compliance rules.

Eurodollar stablecoins offer stronger redemption rights and stricter pegging/reserve requirements, leaving the EU vulnerable to runs and necessitating close, potentially subordinating, coordination with US authorities. Fungibility raises the critical question of "moneyness", the credibility of the promise to redeem the stablecoin at par on demand. This promise is not uniform. Regulatory asymmetries create a hierarchy of moneyness: a Eurodollar stablecoin operating under the more stringent MiCAR regime offers a stronger, more credible promise. MiCAR mandates issuers to offer par convertibility on demand for all owners, whereas in the US, the GENIUS Act allows tiered redemption: institutional owners with an account at the issuer of stablecoins can convert at par on demand but with restrictions (approval) and after payment of a fee, whereas retail owners must convert on exchanges where de-pegging can and has occurred. Indeed, in March 2023, following the collapse of several U.S.

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15 See https://www.ey.com/content/dam/ey-unified-site/ey-com/en-us/insights/financial-services/documents/cs-eyp-stablecoin-survey.pdf

16 USD1 (Trump-linked World Liberty Financial), eUSD (Membrane Finance, Finland), USDQ (Quantoz Payments, Netherlands), USDR (StablR Ltd), USDSM (Stable Mint), https://www.ccn.com/education/crypto/mica-compliance-watchlist-stablecoin-issuers-casps-list/

17 Its Euro stablecoin, EURC, was also MiCAR compliant.

18 https://www.reuters.com/sustainability/boards-policy-regulation/existing-eu-crypto-rules-address-stablecoin-risk-banking-regulator-says-2025-11-12/

regional banks, notably Silicon Valley Bank (SVB), Circle, the issuer of the USDC stablecoin, disclosed that USD 3.3 billion of its cash reserves were trapped at SVB. This caused USDC to de-peg, its par convertibility promise voided as owners could redeem for as little as USD 0.87. Circle and partner Coinbase paused conversions between USDC and US dollars. The USDC depegging created a contagion effect, briefly pulling USDT (Tether) down to approximately USD 0.95 as investors fled to the safety of US dollars. The US GENIUS Act did not strengthen the redemption regime to prevent such de-pegging events.

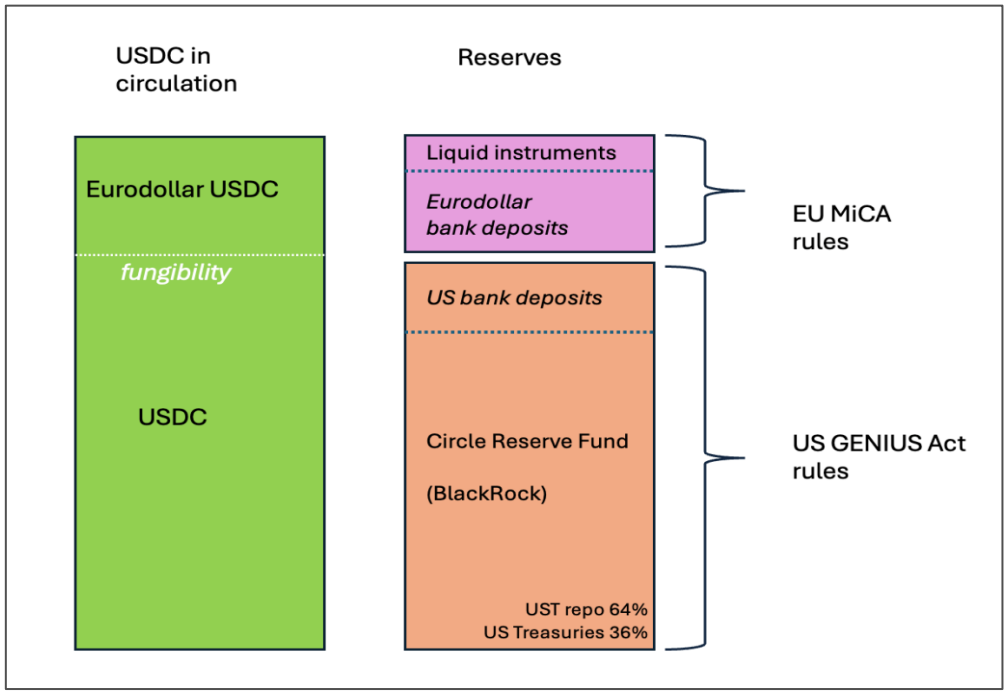
Regulatory differences encourage hoarding reserves in the more profitable jurisdiction and running on stablecoins in the stronger moneyness jurisdiction, a cross-jurisdictional arbitrage that benefits the US dollar and US debt. Issuers and users seek to maximize returns or safety by navigating the spectrum of moneyness strength. Take USDC. In Europe, Circle France must hold 60% of reserves in bank deposits, and the rest in cash equivalents. In the US, Circle US can place reserves in higher-yielding debt instruments. Because it holds segregated reserves, the incentive is to hoard reserves in the US. For instance, in September 2025, Circle US held around 80% of reserves in BlackRock's Circle Reserve Fund (see **Figure 20**), a money market fund which placed around 35% of its portfolio in US Treasuries (around USD 25 billion) and lent around 65% via repo transactions against US Treasuries collateral (around USD 37 billion), to US and European banks. While this was a more conservative reserve management strategy than the one of Tether, which held around 5.5% of its USD 162 billion reserves in Bitcoin, it could be reversed in favour of higher-risk assets, if, for instance, the US Federal Reserve lowered interest rates.

Table 3: Stablecoin regulatory regimes, US vs Europe

	US	Europe
Cap on issuance	None	Yes – for financial stability, payment system resilience, orderly functioning of monetary policy.
Redemption/par convertibility	Two-tiered GENIUS Act: – institutional clients (with accounts at stablecoin issuers) can redeem at par, on demand with tight restrictions and fees – retail clients: via exchanges, de-pegging	MiCAR (Markets in Crypto Assets Regulation): unconditional redemption rights at any time and at par value, without a fee
Reserve assets	Broader reserve options: high-quality liquid assets that include (runnable) repos, US Treasuries. No formal 'significant' label	Stricter requirements at least 30% in bank deposits (60% for significant issuers); the remaining in secure, low-risk assets that qualify as highly liquid financial instruments

	US	Europe
	Monthly disclosure of reserve position	with minimal market risk, credit risk and concentration risk significant issuers: European Banking Authority supervision if > 10 million users, 2.5 million transactions and EUR 500 million in transaction value per day. comprehensive ongoing reporting and stress-testing
Market access	European issuer compliant with MiCAR could—subject to Treasury recognition of equivalence—enter U.S. markets without establishing a U.S. subsidiary.	U.S. issuer authorised under the GENIUS Act must establish a separate EU entity, obtain authorisation, and comply with the full range of prudential, governance, custody, and reporting requirements.
Fungibility	Cross-currency, cross reserve requirements arbitrage	Cross-currency, cross reserve requirements arbitrage

Figure 20: Reserve composition, USDC Eurodollars



Source: author's illustration (note: UST repo – repos with US Treasuries collateral).

In case of a de-pegging event, stablecoin owners would first try to redeem in Europe, where par convertibility is better regulated. The stronger redemption rules make Eurodollar stablecoins more

vulnerable to runs than their US equivalent. A run on Eurodollar stablecoins can unfold in two scenarios. The more likely is *liquidity/reserve ringfencing*: the issuer (Circle), or its regulatory authorities (US regulators), decide to ringfence liquidity between the US and EU arms. The run on Eurodollar stablecoins exhausts Circle's deposits at European banks, intensifying funding pressures for the European banking system and raising broader financial stability tensions. It could quickly amplify the USD funding vulnerabilities of European banks and force the ECB to draw on swap lines with a US Federal Reserve that may not be as cooperative under a Donald Trump appointee. As the ECB put it, the EU issuer of dollar stablecoins would 'be accountable, under their respective roles, to ensure the solvency and liquidity soundness of both the EU based issuer's and the third country issuer's liabilities – as the latter are fully fungible with the EU liabilities'. The US regulatory authorities would have incentives to ringfence capital and liquidity since Circle US would have to sell US Treasuries to meet redemption requests in the EU. The second, non-ringfencing *global redemption* scenario would see stablecoin issuers meet all redemption requests promptly across jurisdictions. For this, regulators across all issuing jurisdictions would have to coordinate, or agree ex-ante on a conversion/redemption guarantee.

The partnership between Circle and Deutsche Börse announced in September 2025 could further entrench the dominance of Eurodollar stablecoins, and of US stablecoin issuers, by connecting decentralized finance with the core infrastructure of European capital markets. It integrates both Euro and Eurodollar stablecoins into Deutsche Börse's trading, clearing, and settlement ecosystem, a vital plumbing mechanism for institutional transactions, from bond issuance to derivatives collateral. It may create powerful network effects. Once major banks, asset managers, and corporations are operationally locked into this system for its efficiency, it becomes exponentially more difficult for any potential public alternative, such as a digital euro, to compete. The partnership could solidify a private, dollar-pegged standard at the heart of the euro area's own capital markets.

To be an alternative to (Eurodollar) stablecoins, the digital euro needs to meet a set of institutional criteria, in particular higher limits on institutional accounts. The ECB's digital euro project, a central bank digital currency, aims to preserve the role of the public money (central bank issued money) as a monetary anchor and to protect the effectiveness of monetary policy in a world where stablecoins are becoming the anchor of a new monetary ecosystem outside the control and oversight of central banks (Lane 2025). This monetary ecosystem encompasses not just (US dollar) crypto-assets but increasingly, cross-border transactions between financial or corporate institutions whose large-value payments can be settled faster through stablecoins than traditional banking networks. In contrast to this growing wholesale settlement function for stablecoins, plans to set ceiling limits for individual holdings at EUR 3000 would render the digital euro a retail money. While this would increase payment system sovereignty for the EU, it would not offer institutional and corporate holders the wholesale settlement benefits that characterise stablecoins. Concerns that a digital euro would accelerate banking disintermediation – as households and businesses shift from bank deposits into digital money - need to be weighed against the clear potential for stablecoins to also disintermediate banking, since the growing adoption of (Eurodollar) stablecoins could also lead to deposit migration (Bank of England 2025b). For instance, the Bank of England is proposing to cap holdings of sterling stablecoins at GBP

20.000 for individuals and GBP 10 millions for businesses. Furthermore, the fungibility rules further encourage institutional users to rely on stablecoins for their global value chain activities, since they can optimise cross-border allocations and maximise 'moneyness' in the case of a depegging event.

***Summing up*:** The euro has not benefitted from global, slow-moving de-dollarisation, with central banks only slowly diversifying away from dollar reserves towards non-euro currencies. Foreign appetite for US public debt also held up throughout the first half-year of the Trump Administration, as investors continued to treat US government bonds as safe assets even as Trump intensified attacks on central bank independence. In turn, the ECB has taken timid steps towards a global lender of last resort, with the terms on its extraordinary lending often more restrictive than those of the US Federal Reserve, even for EU Member States with significant euro exposures. In parallel, the ECB support for safe asset status of the euro area sovereign debt is conditional on the interpretation of fiscal conditions under the TPI framework and creates uncertainty about its willingness to preserve safe asset status, in contrast with the Federal Reserve. Furthermore, the US GENIUS Act (July 2025) signals the intention of the Trump Administration to co-opt stablecoins for geopolitical ends, both to cement the international role of the US dollar and to increase stablecoin-issuer demand for US Treasuries. Against this new geopolitical reality, the European Commission fungibility rules gave Eurodollar stablecoins stronger redemption rights and stricter pegging/reserve requirements, leaving the EU vulnerable to runs on stablecoins and the broader financial system, in turn necessitating close, potentially subordinating, coordination with US authorities. In parallel, attempts to preserve monetary sovereignty through a digital euro will be weakened by the holding limits on a digital euro that render it a retail money instrument.

***How does this matter*:** Renewed ambitions for a global role for the Euro need institutional updating. Building stronger capital markets, or pan-European savings instruments, will not be enough to make the Euro a credible contender to the US dollar, as Europe already has a glut of institutional capital, relatively larger than the US, chasing yields in cross-border markets, including AI-related equity markets in the US. The Euro needs credible safe assets – government bonds of the euro area – backstopped by the ECB, including through new instruments like the Federal Reserve's Bank Term Funding Program, and a credible global lender of last resort function. Indeed, a capital markets union without a sovereign bond market union, where uncertainty about the safe asset status of euro area sovereign debt is amplified by the discretionary nature of ECB interventions under the TPI requirements, constitutes a weak foundation for a global reserve currency. Instead, euro area authorities should take a page from the US playbook, where the US Treasury is aggressively co-opting the rapid rise in stablecoins to strengthen demand for US government bonds. To minimise the destabilising potential of Eurodollar stablecoins, both as regards the near-term threats to financial stability and the longer-term prospect of a private, dollar-pegged standard at the heart of European capital markets, European authorities should eliminate the regulatory arbitrage at the heart of the growing Eurodollar stablecoin market.

4. CONCLUSIONS AND RECOMMENDATIONS

The EU-US relationship is rapidly evolving, with macrofinancial bonds under stress. The US has embraced a playbook of transformative economic policies aimed at strengthening the global tech footprint of US corporations and at reinforcing the global role of the US dollar through the emerging digital finance ecosystem. In turn, the EU scaled up transformative ambitions that combine climate action and competitiveness. This paper identified and evaluated risks and opportunities in US-EU relations across short-term macrofinancial developments, structural green and digital industrial challenges, and the global role of the Euro against the growing importance of Eurodollar stablecoins.

The analysis finds that rather than US tariffs, it is the US AI investment boom, increasingly funded through US shadow banking by among others European institutional capital, that poses short-run threats to EU macro-financial instability. A US AI Minsky moment, when AI companies can no longer meet their interest payments and when AI-related equities crash, could threaten EU macro-financial stability through *the dollar funding exposures* of European banks and investors, and through *contagion* to European equity and wholesale funding markets secured by systemic collateral, including sovereign bonds.

New geo/political obstacles may obstruct an effective activation of the ECB's tools to address dollar and local funding stress. While the ECB can tap the dollar swap lines with the US Federal Reserve, the Trump Administration may condition dollar liquidity provision on regulatory, trade or investment concessions, leaving Europe's financial stability vulnerable to geopolitical uncertainty. To manage these threats, European authorities should reduce the dollar funding pressures of European banks and improve regulatory regimes around euro area equity/bond funds and Eurodollar stablecoins. Conversely, the ECB should expand its euro liquidity toolkit by strengthening its market maker of last resort role in collateral markets, including sovereign bond markets, through relaxing the 'fundamentals – warranted only' constraints on TPI interventions.

Over the medium term, a correction in the US AI investment boom would create the conditions for a multipolar AI world that would allow the EU to orderly reduce its structural dependencies on the US and preserve its risk-based AI approach.

The structural challenges of the EU-US relationship require the EU to build state capacity for an 'incentives and discipline' industrial approach, from cleantech to AI and other strategic areas where the US and China are deploying industrial strategies to increase global market shares. The EU's derisking-based, 'carrots only' industrial strategy relies on mobilising private investment but has not delivered at the pace and scale required. In parallel, the Capital Markets Union and the Savings and Investment Union have misdiagnosed the EU financing challenge – the EU does not lack investible capital, but rather has *larger institutional capital pools than the US*. Instead, the EU should set up a European Industrial Authority that coordinates strategic investments at European level to overcome the distributional tensions and trade-offs over distinctive fiscal and financing capacities at Member State level, and to strengthen capacity to discipline businesses into strategic priorities. In parallel, it needs credit policies to strengthen industrial policy efforts. For this, the EU should leverage the ECB's newly built state capacity to direct credit flows.

Finally, renewed ambitions for a global Euro need to institutional updating. Building stronger capital markets, or pan-European savings instruments, will not be enough to make the Euro a credible contender to the US dollar. Europe already has a glut of institutional capital, relatively larger than the US, chasing yields in cross-border markets, including US AI-related equity markets. Indeed, a capital markets union without a sovereign bond market union, where uncertainty about the safe asset status of euro area sovereign debt is amplified by the discretionary nature of ECB interventions under the TPI requirements, constitutes a weak foundation for a global reserve currency. Instead, euro area authorities should take a page from the US playbook, where the US Treasury is aggressively co-opting the rapid rise in stablecoins to strengthen demand for US government bonds, while the Federal Reserve protects the safe asset status of US Treasuries. To minimise the destabilising potential of Eurodollar stablecoins, both as regards the near-term threats to financial stability and the longer-term prospect of a private, dollar-pegged standard at the heart of European capital markets, European authorities should eliminate the regulatory privileges conferred by the European Commission's fungibility rules to the US issuers of dollar stablecoins. Furthermore, European authorities should pursue the establishment of a public digital euro as an alternative to (Eurodollar) stablecoins by allowing larger holding limits for businesses and financial institutions.

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The global economic paradigm has shifted from globalisation to competition between transformative state projects. This briefing paper examines the risks and opportunities in EU-US relations, across the short-term threat of an AI Minsky moment in the US, the structural challenges of building state capacity for transformative industrial policy, and global Euro ambitions that require the European Central Bank to strengthen its local market maker and global lender of last resort frameworks, and European institutions to tighten the governance of Eurodollar stablecoins while protecting monetary sovereignty through a digital euro.

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